106 & 107

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

CA(CAA)/67(CHE)2022

SREE SHASTHI HOTELS PRIVATE LIMITED
CIN NO: U55101TN1998PTC041173
Muruganadi, No.24, Kasturi Rangan Road,
Chennai – 600 018.

... Applicant / Transferor Company

Along with

CA(CAA)/63(CHE)2022

SHASTHI CAR PRIVATE LIMITED
CIN NO: U50300TZ2004PTC011385
"Shri Padmini Gardens"
16A1, Kangeyam Road,
Tirupur, 641 604.

... Applicant/ Transferee Company

And

Their Respective Shareholders and Creditors

Order Pronounced on ***15th February 2023***

CORAM

JUSTICE (RETD.) RAMALINGAM SUDHAKAR, PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): M.R.Thiagarajan,PCS

COMMON ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

Under consideration are two applications Viz., CA(CAA)/67(CHE)/2022 & CA(CAA)/63(CHE)/2022 filed by the Applicant Companies, namely **SREE SHASTHI HOTELS PRIVATE LIMITED** (for brevity "Transferor Company") and **SHASTHI CAR PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is also appended as **"Annexure – G"** to the CA/CAA/63 & 67 (CHE) 2021.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED LOAN CREDITORS
TRANSFEROR COMPANY	To Dispense with	Nil	To Dispense with
TRANSFEREE COMPANY	To Dispense with	To Order Meeting	To Dispense with

3. From the certificate of incorporation filed, it is evident that the Transferor Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 22.09.1988. The Authorized Share Capital of the Transferor Company as on 31.03.2021 is as under:

Particular	Rupees (INR)
Authorized Share Capital	
1,000 equity shares of Rs.100/- each	1,00,000
Total	**1,00,000**
Issued, Subscribed and Paid-up Share Capital	
1,000 equity shares of Rs.100/- each	1,00,000
Total	**1,00,000**

4. From the certificate of incorporation filed, it is evident that the Transferee Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 08.10.2004. The Authorized, issued, Subscribed and paid up share capital of the Applicant Company as on 31.03.2021 is as follows:

Particular	Rupees (INR)
Authorized Share Capital	
10,00,000 equity shares of Rs.10/- each	1,00,00,000
Total	**1,00,00,000**
Issued, Subscribed and Paid-up Share Capital	
10,00,000 equity shares of Rs.10/- each	1,00,00,000
Total	**1,00,00,000**

5. Affidavit in support of the above application was sworn for and behalf of the applicant Companies has been filed by Mr. Sudhan Sivasubramanian in the capacity of Director / Authorised Signatory for the Transferor Company and Transferee Company along with the application and it is also represented that the Registered office of the Transferor Company is situated at Muruganadi, No.24, Kasturi Rangan Road, Chennai – 600 018 and the Registered office of the Transferee Company is situated at Shri Padmini Gardens, 16A1, Kangeyam Road, Tirupur – 641 604 within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Chennai with respect to Transferor Company and Registrar of Companies, Coimbatore with respect to Transferee Company.

6. **SREE SHASTHI HOTELS PRIVATE LIMITED**
TRANSFEROR COMPANY – CA(CAA)/67 (CHE)/2022

(i) There are **2 (Two)** Equity Shareholders and list of shareholders to this effect is placed at page No. 206 of the typed set filed with the application typed set filed along with the Application and consent by way of Affidavit given by both the Equity Shareholders is placed at Page Nos.207 to 212 and sought for dispensation with holding of meeting.

(ii) There are **NIL** Secured Creditors and the certificate issued by the Chartered Accountant to this effect is

placed at Page No. 213 of the typed set filed along with the Application. Hence the necessity of Convening, holding and conducting the meeting does not arise.

(iii) There are **13 (Thirteen)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page Nos. 213 to 214 of the typed set filed with the application and the consent Affidavits given by the unsecured creditor Constituting 98.06% of the total value of credit have been obtained are placed at Page Nos. 215 to 217 of the typed set filed along with the Application and sought for dispensation with holding of meeting.

7. **SHASTHI CAR PRIVATE LIMITED**
TRANSFEREE COMPANY CA(CAA)/63(CHE)/2022

(i) There are **2 (Two)** Equity Shareholders and list of shareholders to this effect is placed at page No. 205 of the typed set filed with the application typed set filed along with the Application and consent by way of Affidavit given by both the Equity Shareholders is placed at Page Nos. 206 to 211 and sought for dispensation with holding of meeting.

(ii) There is **1 (One)** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed at Page No.212 of the typed set filed along with the Application and sought for convening, holding and conducting of meeting.

(iii) There are **29 (Twenty Nine)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page Nos. 212 to 213 of the typed set filed with the application and the consent Affidavits given by the unsecured creditor Constituting 90.01% of the total value of credit have been obtained are placed at Page Nos. 214 to 219 of the typed set filed along with the Application and sought for dispensation with holding of meeting.

8. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

9. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2021 and Provisional Financial Statements for the period ended on 31.01.2022.

10. The Board of Directors of the Applicant Companies vide meeting held on 31st March 2022 had unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

11. The Appointed date as specified in the Scheme is **01.04.2021**.

12. The Statutory Auditors of the Transferor and Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.The said Certificates of the Statutory Auditors in this regard is placed at "Annexure I" (with respect to Transferor Company) and "Annexure I" (with respect to Transferee Company) in their respective accompanying typed set of Documents.

13. Heard the submissions of the Learned Authorized Representative for the Applicant Companies and perused the documents placed on record. With regard to the Unsecured Creditors of the Transferee Company it can be seen that the consent affidavits obtained, does not satisfy the requisite majority under the attendant rules. Thus this Tribunal is constrained to order meeting for the unsecured creditors of the Transferee Company.

14. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions: -

A. IN RELATION TO THE TRANSFEROR COMPANY : CA(CAA)/67(CHE)/2022

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company that there are 2 Equity shareholders in the Company whose consents by way of Affidavits have been obtained from both the Equity Shareholders and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company that there are NIL Secured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting does not arise.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferee Company that there are 13 Unsecured Creditors in the Company and the consent Affidavits obtained from the Unsecured creditor constituting 98.06% of the total value of credit having been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

B. IN RELATION TO THE TRANSFEREE COMPANY : CA(CAA)/63(CHE)/2022

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferee Company that there are 2 Equity shareholders in the Company whose consents by way of Affidavits have been obtained from both the Equity Shareholders and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Meeting of the Secured Creditors of the Transferee Company is directed to be held on **24.03.2023 at 11:00 AM** at the Registered Office address of the transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferee Company is directed to be held on **24.03.2023 at 1:00 PM** at the Registered Office address of the transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

15. The quorum for the meeting of the Transferee Company shall be as follows;

S.No	Class	Quorum
1	SECURED CREDITORS	1
2	UNSECURED CREDITORS	7

i) The Chairperson appointed for the above said meetings shall be **Mr. R. Varadharajan** (Mob:9444166699). The Fee of the Chairperson for the aforesaid meeting shall be **Rs. 50,000/-** (**Rupees Fifty Thousand Only)** in addition to meeting his incidental expenses. . The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

ii) **Mr. Akhil Ahmed Akbar Ali,** Advocate (Mob: 9790702209) is appointed as a Scrutinizer for the above said meetings. The Fee of the Scrutinizer for the aforesaid meeting shall be **Rs. 30,000/- (Rupees Thirty Thousand Only)** in addition to meeting his incidental expenses.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and

Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily **"*The New Indian Express*" (All India Edition), and "*Dina Malar*"**

***Tamil* (Tamil Nadu Edition)** in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai and Coimbatore, Official Liquidator and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings

and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

16. The Applications stand **allowed** on the aforesaid terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT

SriramAnanth.V